

Magnolia Terrace — Investment & Sales Offering Memorandum (Revised)

Raleigh, NC multifamily • As-of 2026-09-01 • Original fictional evaluation material

Revision Summary

Source-backed analysis. Assumptions remain subject to diligence.

This revision applies revision-notice.pdf (2026-09-01) and rent-roll-revised.xlsx. Suite 045 is now active with scheduled rent raised by \$225 to \$2,150. The cap rate increases by 25 bps to 6.00% and the initial sizing rate increases by 75 bps to 7.00%. All other underwriting rules, expenses, insurance, T-12, Suite 001 amendment and payoff are unchanged.

Item	Initial	Revised
As-of	2026-08-31	2026-09-01
Suite 045	pending \$1,925	active \$2,150
GPR	\$974,400	\$977,100
Cap rate	5.7500%	6.0000%
Sizing rate	6.2500%	7.0000%
UW EGI	\$942,480	\$945,045
UW NOI	\$641,374	\$643,862
UW NCF	\$626,974	\$629,462
Capitalization value	\$11,154,323	\$10,731,028
Maximum loan	\$6,788,545	\$6,307,523
Net cash-out	\$2,475,660	\$1,999,448

Executive Summary

Magnolia Terrace is a 48-unit multifamily asset in Raleigh, NC. Under the revised inputs, UW NOI before reserves is \$643,862 on \$945,045 of EGI, producing \$10,731,028 of capitalization value at 6.00%. Underwritten NCF is \$629,462. Debt sizing at 7.00% over 30-year amortization is DSCR-binding at \$6,307,523 (LTV cap \$6,975,168, DY cap \$6,994,018). After 1% origination, \$45,000 closing costs and \$4,200,000 payoff, net cash-out is \$1,999,448 (still positive; refinance shortfall absent).

Physical occupancy on the revised roll is 45 of 48 units (93.75% by unit; 39,770/40,800 = 97.48% by area). The prior pending-in-occupancy risk is resolved because Suite 045 is now active.

Property Overview

Asset: Magnolia Terrace, multifamily, Raleigh, NC. Original fictional evaluation property; no actual address, sponsor credentials or transaction is represented. Photos, market sales/rent comps, sponsor history and asking price are not supplied and are labeled absent rather than invented.

Unit / Suite Mix (Manager A/B/C = Studio/1BR/2BR)

Each group has 16 units with one vacant. Suite 045 (2BR) is now active at a revised \$2,150 scheduled rent.

Group	Type	Total	Occupied	Pending	Vacant
A	Studio	16	15	0	1
B	1BR	16	15	0	1
C	2BR	16	15	0	1
Total	-	48	45	0	3

Lease & Occupancy Analysis

The revised certified rent roll dated 2026-09-01 supersedes the 2026-08-31 certified roll and the 2026-06-30 archive. All leases expire 2029-08-31, outside the 12-month horizon; no near-term rollover. The signed Suite 001 amendment continues to control in-place rent at \$1,850. Annual in-place rent updates to $(1 \times 1,850 + 14 \times 1,500 + 15 \times 1,650 + 14 \times 1,925 + 1 \times 2,150) \times 12 = \$920,400$.

Historical vs Underwritten Financials

The T-12 operating statement is unchanged and the roof remains capital rather than opex.

Item	T-12 actual	Underwritten
Rental collections / EGI	\$876,960	\$945,045
Real estate tax	\$102,312	\$102,312
Insurance	\$34,104	\$34,104
Other recurring opex	\$136,416	\$136,416
Management fee	\$0	\$28,351
NOI before reserves	\$604,128	\$643,862
Reserves	\$0	\$14,400

Item	T-12 actual	Underwritten
NCF after reserves	unknown	\$629,462

Debt Sizing & Sources / Uses

Sizing rate 7.00% is the greater of the revised initial sizing rate (6.25% + 75 bps = 7.00%) and the 6.00% floor. DSCR is the binding constraint at \$6,307,523.

Constraint	Loan
LTV 65% of value	\$6,975,168
DSCR 1.25 on NCF	\$6,307,523 (binding)
Debt yield 9%	\$6,994,018
Maximum loan	\$6,307,523
Origination fee (1%)	\$63,075
Closing costs	\$45,000
Existing payoff	\$4,200,000
Net cash-out	\$1,999,448

Risks & Missing Diligence

Pending-in-occupancy: ABSENT (previously PRESENT). Suite 045 is now active on the revised roll; the manager mapping issue no longer applies.

Near-term rollover: ABSENT. All leases expire 2029-08-31.

Missing insurance: ABSENT. GL aggregate \$2,000,000 policy in force through 2027-06-30.

Capital in opex: ABSENT. Roof classified as capital in the T-12.

Unsigned rent change: ABSENT. Suite 001 amendment is executed by both parties; the revised roll uses updated scheduled rent for Suite 045 as directed by the notice.

Temporary free rent: ABSENT. Lease-001 states no free-rent concession.

Sizing-floor binding: ABSENT. Revised sizing rate 7.00% exceeds floor 6.00%.

Refinance shortfall: ABSENT. Max loan \$6,307,523 exceeds \$4,200,000 payoff plus fees; positive net cash-out.

Missing diligence: legal, environmental, property condition and title reviews remain pending (routine, no defects asserted). Photos, asking price, market comps and sponsor history remain not supplied and are not invented.

Source Notes

Revised roll (rent-roll-revised.xlsx, 2026-09-01) and revision-notice.pdf drive the changes. All other facts — T-12 operating statement, insurance, Suite 001 lease and amendment, manager group mapping, diligence status — are preserved from the initial packet. The prior certified roll (rent-roll-certified.xlsx, 2026-08-31) and archive (rent-roll-archive.xlsx, 2026-06-30) are superseded.